Commercial Due Diligence of a Multi-City Pizza Chain

Outline

1 Commercial Question

2 Analytics Framework & Data Reality

3 Market Reality & Positioning

4 Hidden Value & Scalability

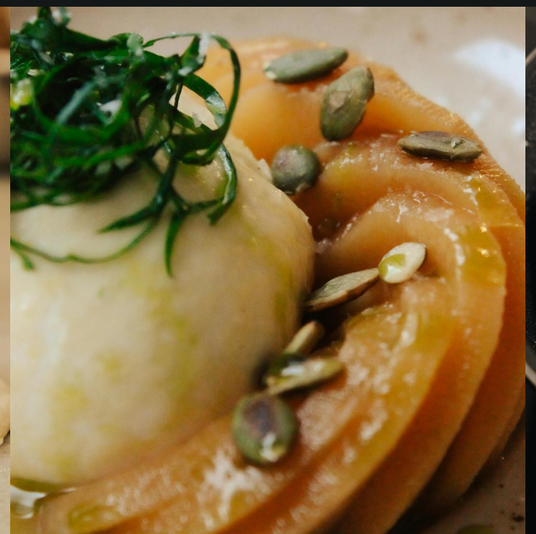
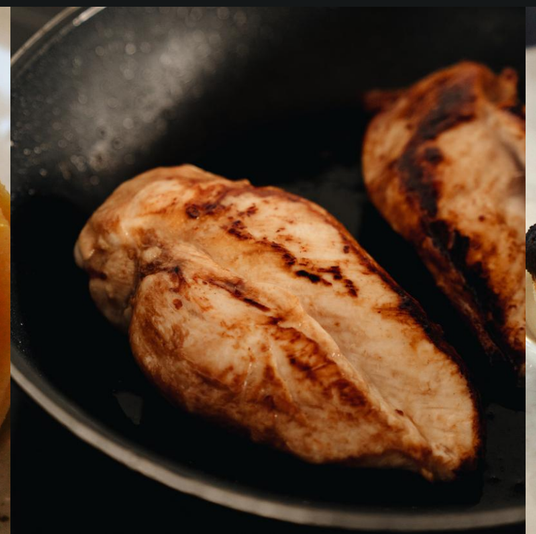
5 Execution Drivers & Risk

6 Implications & Post-Deal Playbook

Executive Summary

- Customer ratings are remarkably consistent across provinces (≈3.6–3.7)
- Pricing varies materially by geography despite similar execution quality
- Several provinces show systematic under-monetization, not weak demand
- Upside is pricing-led, not menu- or capex-driven
- Risks are executional and controllable with governance

1
Commercial Question

The Question

Is customer value being consistently monetized across locations?

- Pricing discipline & outliers
- Customer sentiment & consistency
- Menu mix & differentiation
- Geographic scalability

Analytical Lens: From Customer Value to Economic Capture

Customer Value (Signal)

★ review_overall

Review ratings as proxy for execution quality

→

Monetization (Economic Capture)

$ menus.amount

Median menu pricing as economic realization

Do locations with similar customer experience monetize differently?

Rating of restaurant from the review

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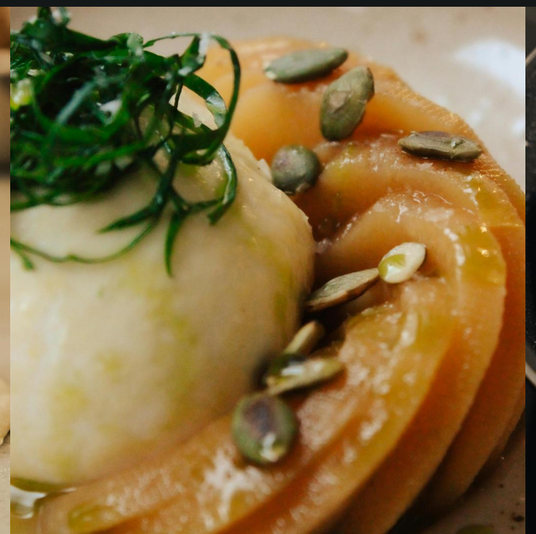
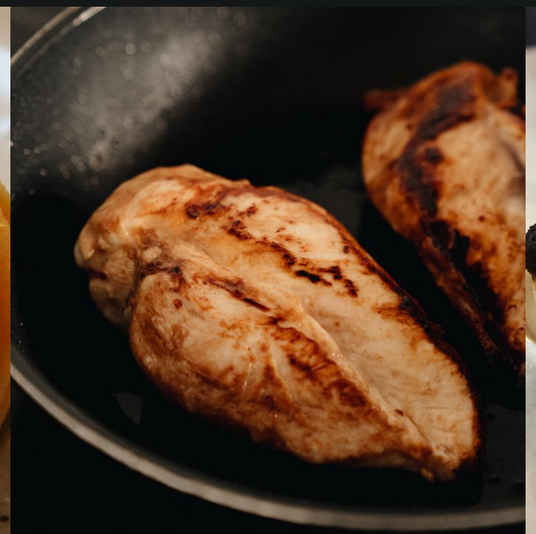
Analytics Framework & Data

The Workflow

Business Question

Where is value not monetized? Where is risk?

Metric Selection

Price, rating, volatility, mix

Cleaning & Normalization

Canonical menus, medians, geography

Exploration

Distribution, outliers, dispersion

Value Signals

Value pockets, scalability, discipline

Implications

Pricing levers, prioritization, risk flags

The Data Reality: Raw Inputs Are Not Economically Comparable

Raw Data Snapshot

city	menus.amountMax	menus.amountMin	menus.currency	menus.descriptio	menus.name	name	review_overall
East Granby	20.5	20.5	USD	Grilled BBQ chicken	Bbq Chicken Pizza (large)	J & G Restaurant	3
East Granby	17.75	17.75	USD	Grilled BBQ chicken	Bbq Chicken Pizza (medium)	J & G Restaurant	4.5
East Granby	11.95	11.95	USD	Grilled BBQ chicken	Bbq Chicken Pizza (small)	J & G Restaurant	4
Louisville	8.25	4.75	USD		Bbq Chicken Pizza Bread	Wick's Pizza	3
Louisville					Bbq Chicken Pizza Bread	Wick's Pizza	4

city	province
Rockville	No Bethesda
New York	Nyc
New York	Nyc
Brooklyn	NY

Missingness

- 55 - 56% missing input:
  - menus description
  - price range Min & Max
  - price range currency
- 16% missing input:
  - menus price Min
  - menus price Max
  - menus currency

Duplicates

171 menu name are pure duplicate (same menu name @ same restaurant id) restaurant categories with multiple tags

Menu Variants

- 9.11% of dataset have different min max menu price
- menu name w/ non differentiating words (regular, plain, classic, etc.)
- menu size variants without clear metadata (personal, small, medium, large, xl, etc.)

Location Scope

- 236 province input as non acronym word (US State)
- city level granularity mismatch (“Brooklyn” & “New York” is the same city)

From Noise to Signal

- Enable apples-to-apples comparison across restaurants, cities, and provinces
- Preserve economic reality, not menu marketing noise

Canonical Menu Mapping

- Removal of duplicate menu
- Removal of non-differentiating words
- Text normalization + menu rule-based canonicalization

“Classic”, “Regular”, “Original”, etc.

"Veggie" or "Vegetarian" to “Veggie Pizza”
“White” or “Bianca” to “White Pizza”

Outcome:

- True view of assortment breadth

Menu Price Reconstruction

- Used median listed menu price per restaurant
- Mapped variants → single economic SKU

$6.99, $7.49, $29.99

Typical Price = $7.49

Outcome:

- Median represents typical cust spend
- Protects valuation from extreme SKUs

Geographic Normalization

- Province Remapping to US state codes

"Magnolia": "WA",
"Malba": "NY",
"Manhattan": "NY",

Outcome:

Reliable province-level benchmarkings

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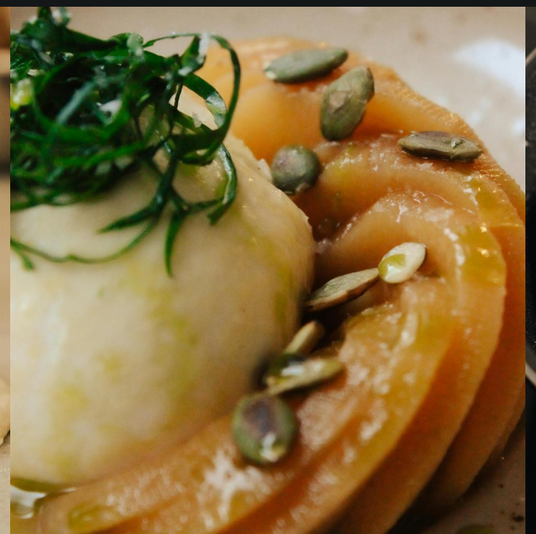
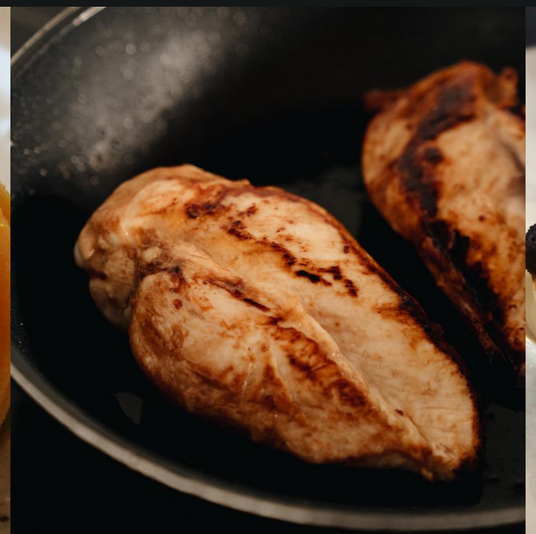
Market Reality & Positioning

Key Market Facts

Despite falling revenue of -2.9% CAGR over the past 5 years, the pizza chain segment remains a powerhouse in US restaurant dining.

45-60%

of the overall pizzeria market is comprised of independent pizzerias

$49.5 Billion

the worth of US pizza industry

13%

of the US population eats pizza on any given day

Source: IBISWorld (2025), Pizza Today Industry Trends (2025)

Portfolio Snapshot: Fragmented Footprint, Narrow Quality Band

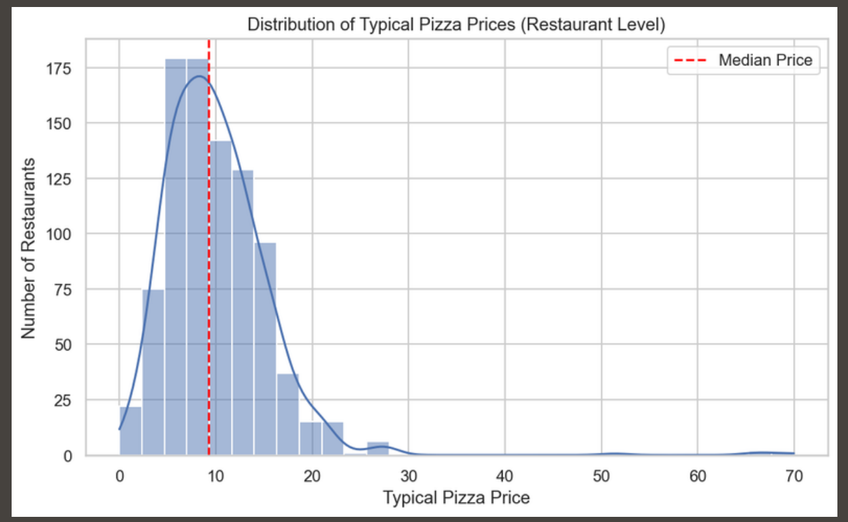
989 restaurants

Median Menu Number: 2 (per restaurant)

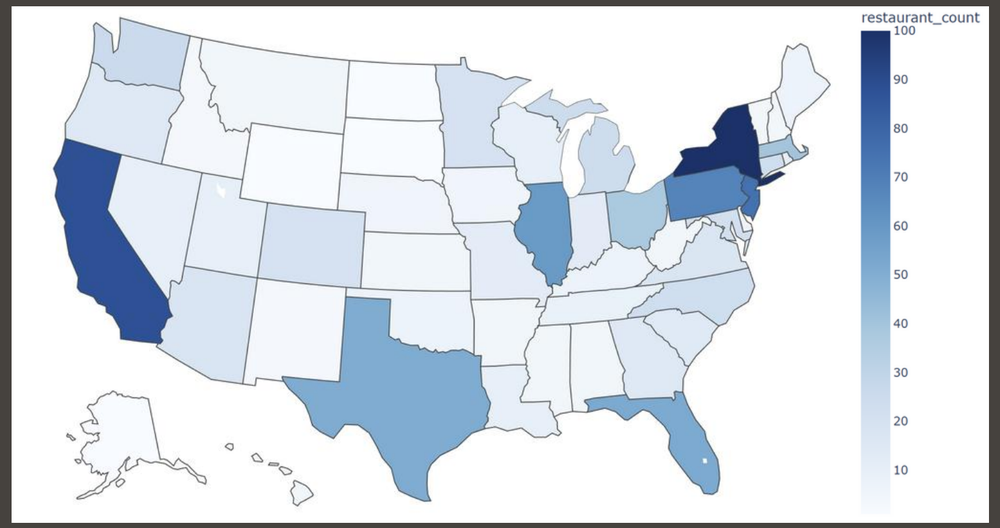
Average Review Rating: 3.63

91% independent restaurant chain

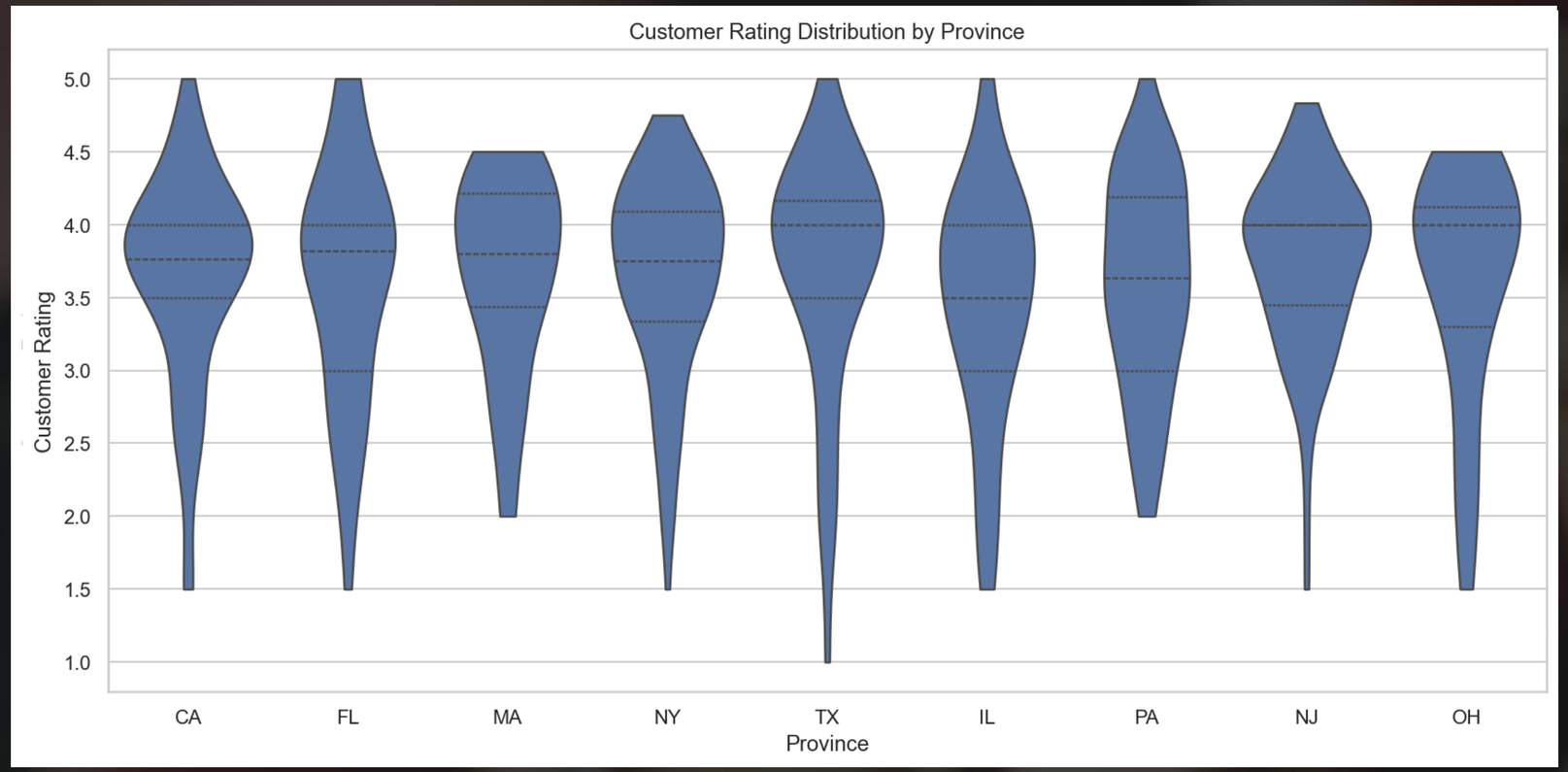
$9.24 - Median Pizza Price



Distribution of Restaurant Across US State



Customer Experience Consistency

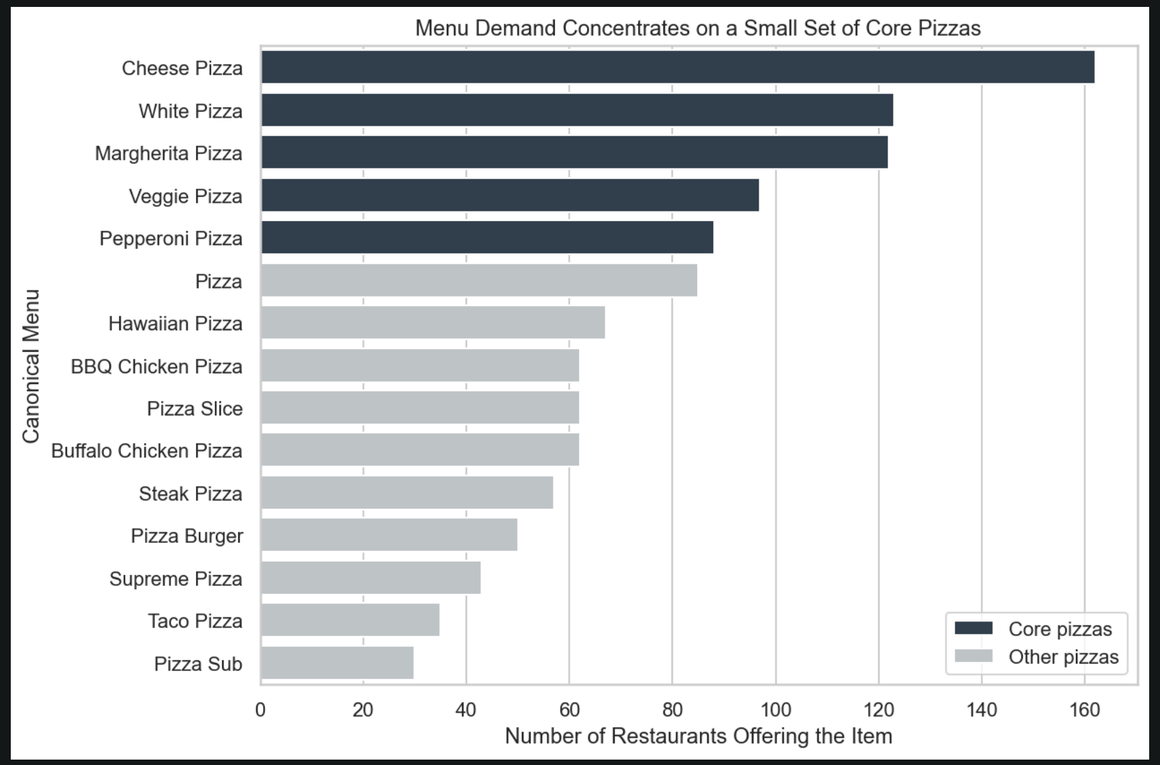


While some tail risk exists, average ratings and dispersion remain broadly consistent across provinces.

Statistical Floor: Only provinces with > 20 restaurant counts included for Quality scoring.

Menu Core vs Novelty

- Customer demand clusters tightly around a small set of standardized core pizzas



- Core Menu (High Frequency, Standardized)
  - Cheese
  - White
  - Margherita
  - Veggie
  - Pepperoni
- One of best-selling US pizza toppings sold (pizzatoday.com)

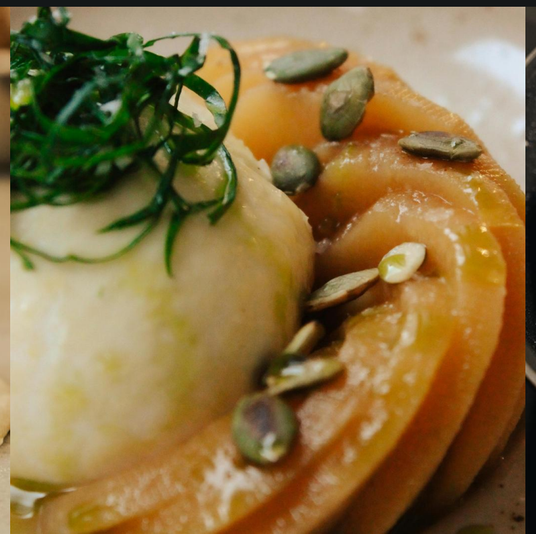
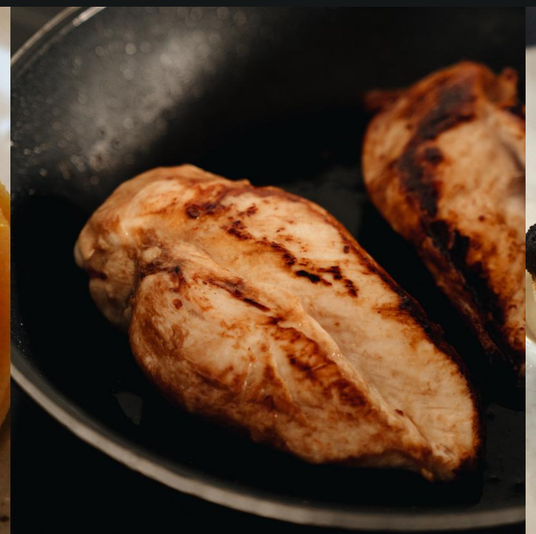
“If customer experience is similar, pricing discipline becomes the differentiator.”

Ratings show limited separation across provinces

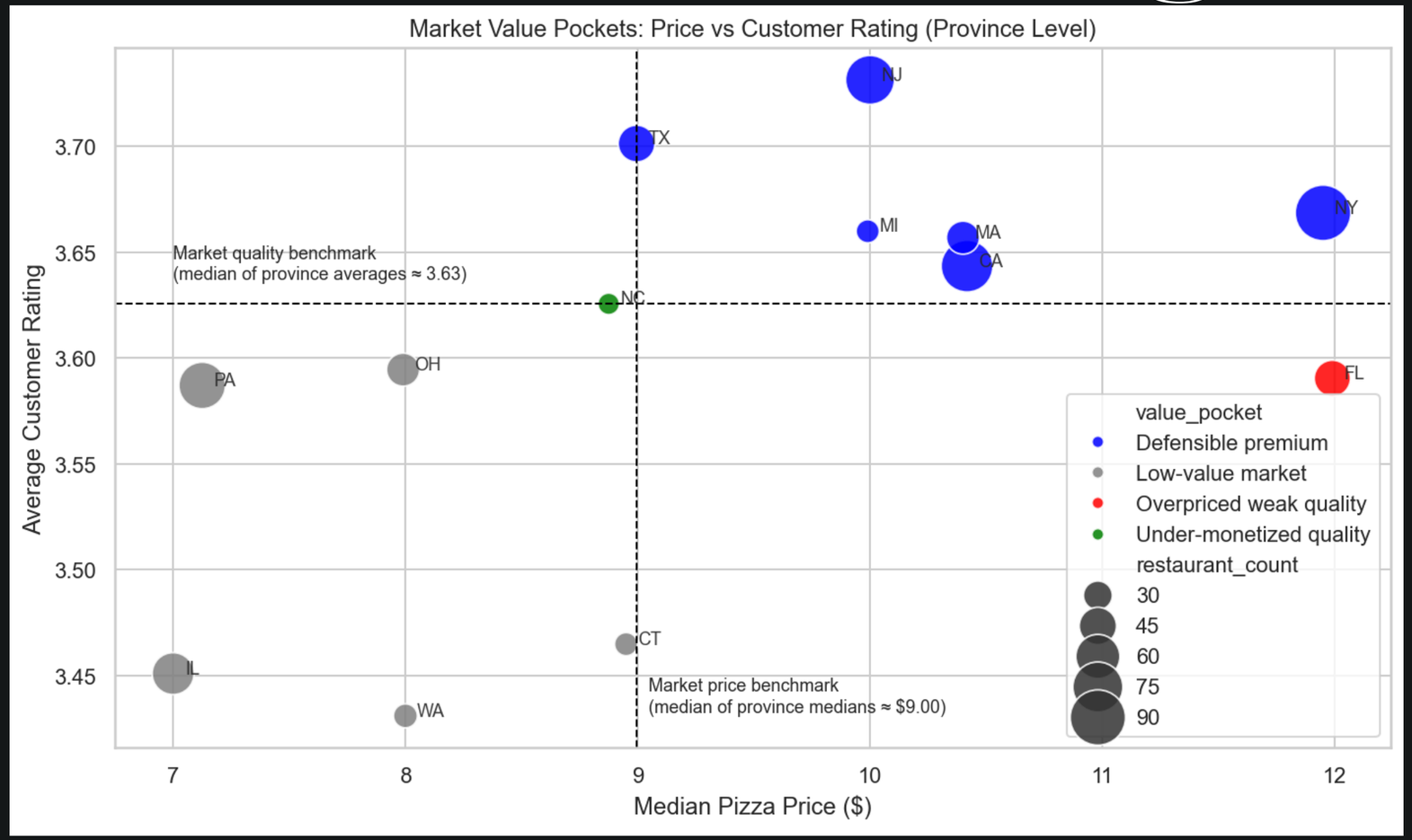
Menu breadth and execution appear comparable

Yet prices vary materially by geography (state), without quality separation

4
Hidden Value & Scalability

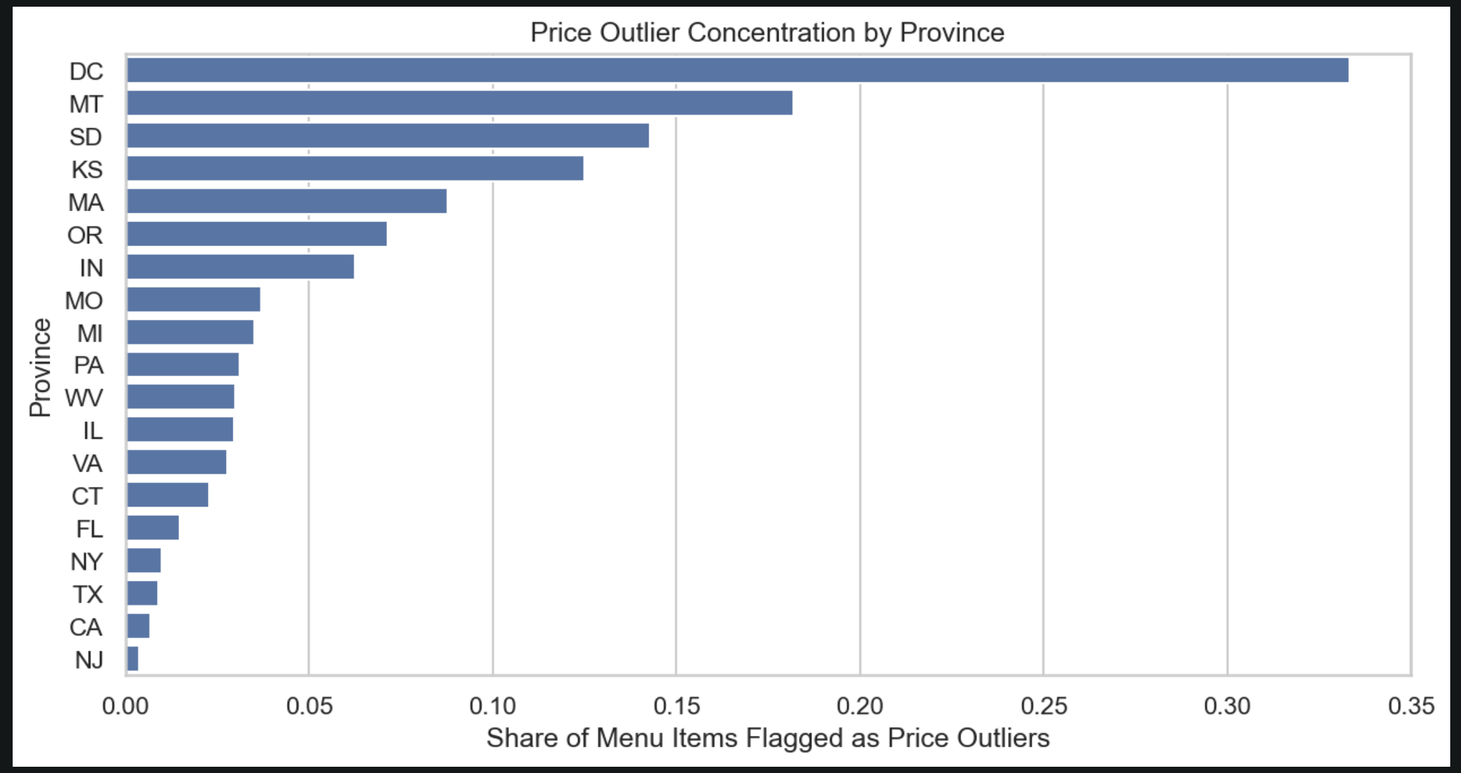
Market Value Pockets: Price vs. Customer Rating



- Provinces cluster tightly on median rating (≈3.6)
- Prices vary materially by geography for similar ratings

Only provinces with > 20 restaurant counts included for Quality scoring.

Pricing Discipline Check: Upside Is Not Driven by Outliers



- Overall menu items flagged as outliers: 1.81%
- Outliers are not concentrated in core markets
- Pricing gap reflects systematic under-monetization, not data errors

Analysis based on listed menu prices; promotional discounts not available to be observed.

Focus on provinces with ≥20 restaurants for statistical robustness

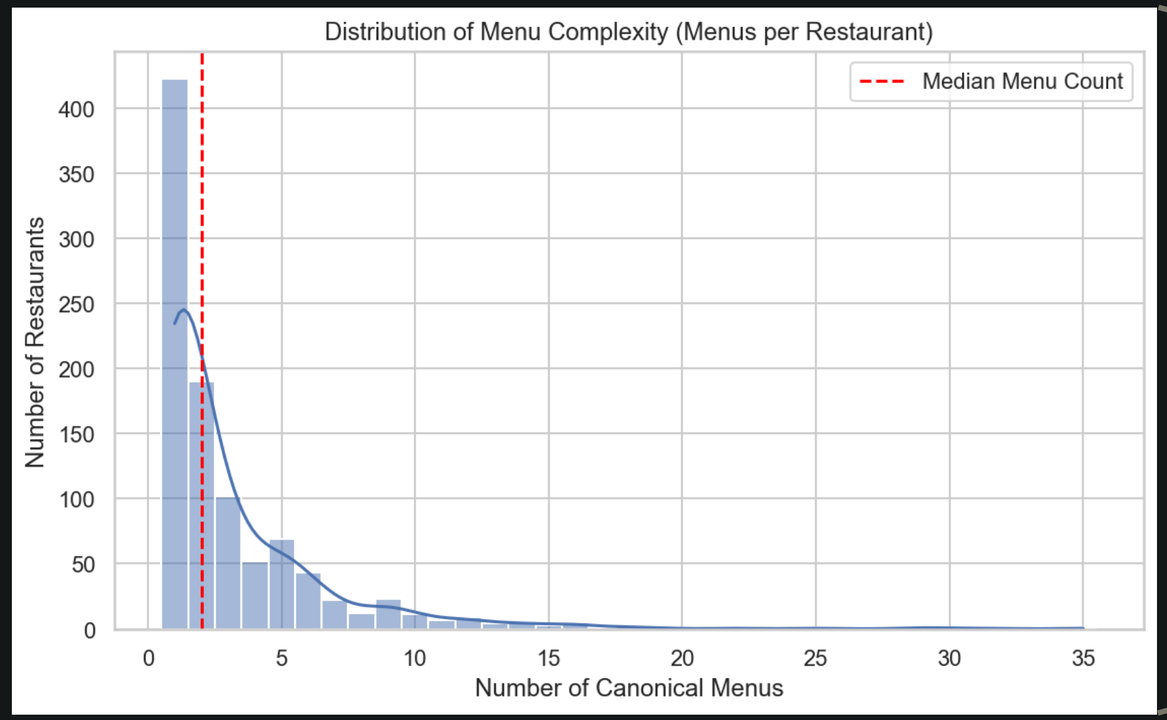
Scalability Check: Are Value Pockets City-Specific?

Province	Total Restaurants	Top 3 Cities	Top 3 Cities Share	Under Monetized Share in Top 3 Cities
NY	91	New York, Brooklyn, Bronx	0.41	0.46
CA	80	Los Angeles, Corona, San Diego	0.18	0.13
PA	66	Philadelphia, Pittsburgh, Pottstown	0.3	0.42
IL	55	Chicago, Addison, Bolingbrook	0.18	0.16
TX	44	Houston, Austin, San Antonio	0.36	0.13
FL	43	Fort Lauderdale, Orlando, Miami	0.23	0.31

- Some provinces show city-led concentration
- Others show broad under-monetization across top cities

Execution Quality Is Stable Regardless of Menu Strategy

- Is higher review performance driven by broader menus, novelty, or execution consistency?



61.9% of restaurants list 2 or fewer pizzas

Menu strategy defined by share of core items per restaurant:
No core pizza (0%), Mixed (0–35%), Core-focused (>35%)

Hidden Value Exists — But It Is Selective and Execution Dependent

Value pockets are driven by price dispersion across provinces, while customer ratings remain tightly clustered (~3.6)

Upside is broad-based, not driven by pricing anomalies (<2% price outliers)

Scalability depends on city structure and execution discipline, not menu expansion

Volume elasticity and cost structure not directly observed; execution risk addressed via phased rollout.

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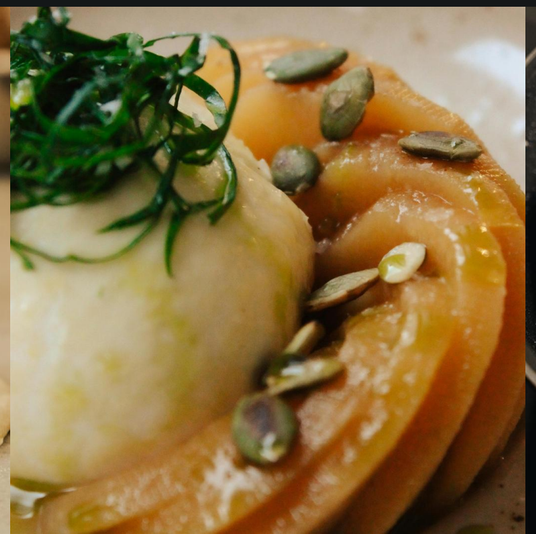
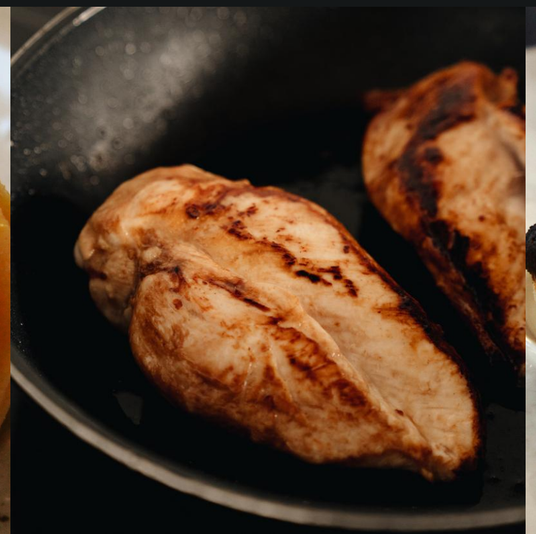
Execution Drivers & Risk

Execution Drivers - What Matters, What Doesn't

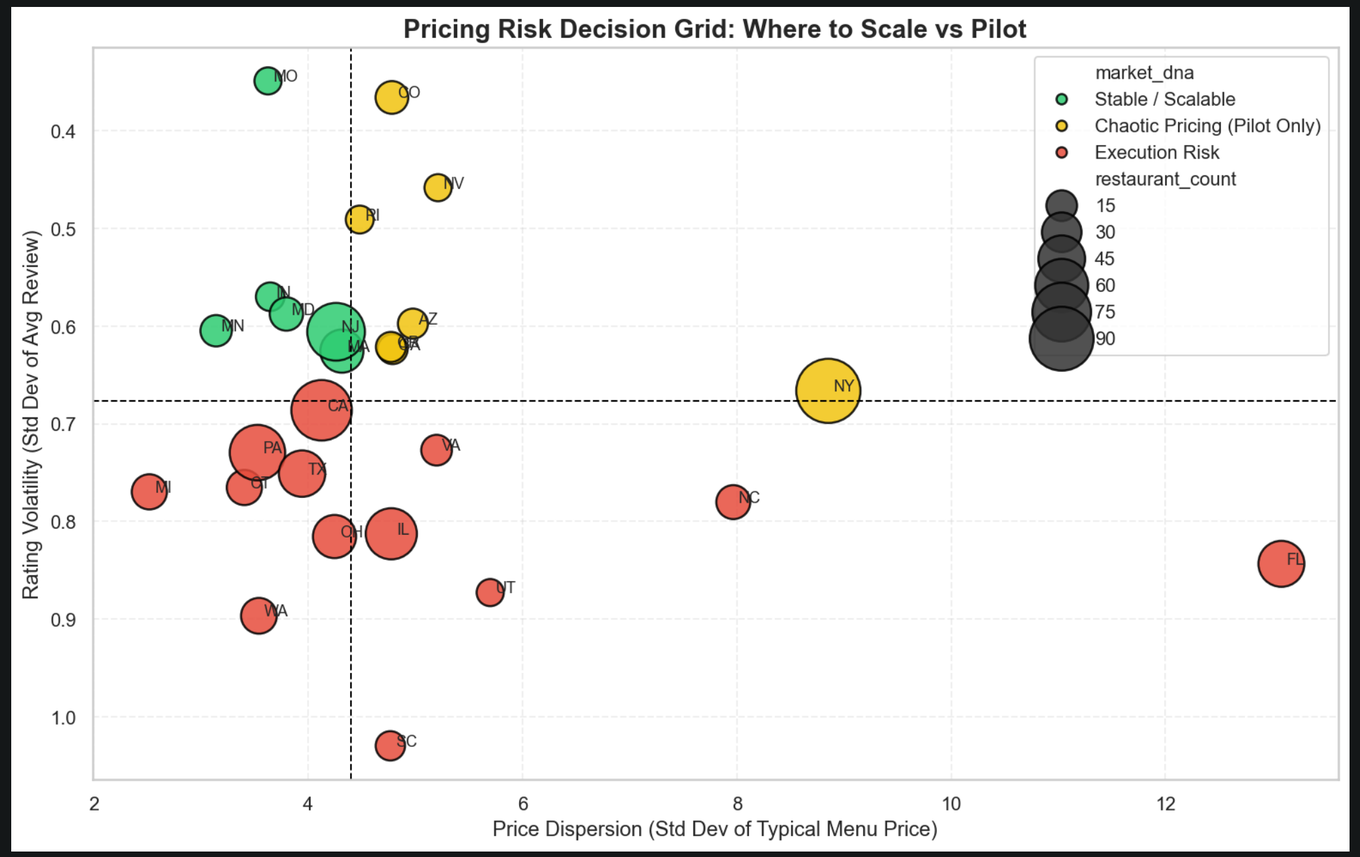
What DOES NOT drive performance

- Menu breadth
  - Median menu count = 2 across portfolio
  - No correlation between menu count and avg rating
- Novelty strategy
  - Novelty-heavy menus do not consistently outperform on ratings
- Extreme pricing outliers
  - Only 1.81% of items flagged

What DOES drive earnings

- Pricing alignment within a narrow quality band
- Geographic sequencing of price actions
- Execution consistency (rating volatility, not level)

Interpreting Pricing Risk by Market Execution Stability

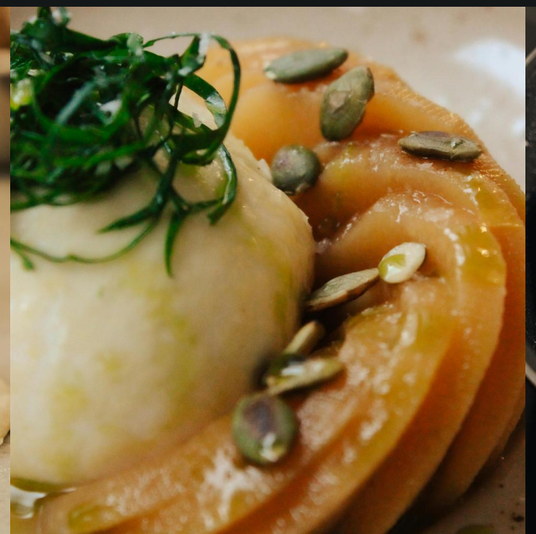
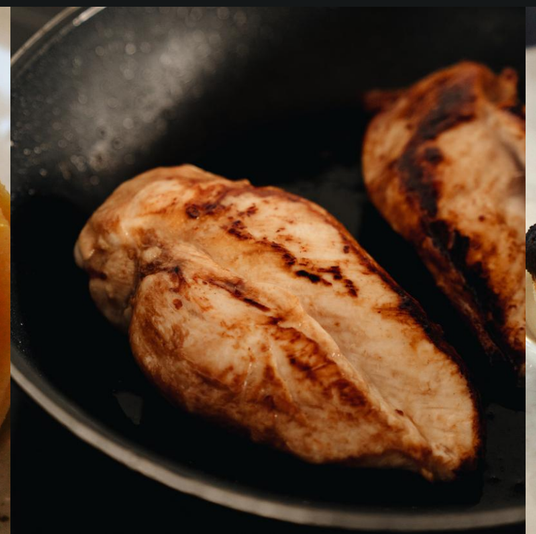


- Pricing gaps are only valuable when execution is stable
- Rating volatility is the key earnings-quality risk signal
- Not all “value pockets” are safe to monetize

Decision Filter for Pricing Actions

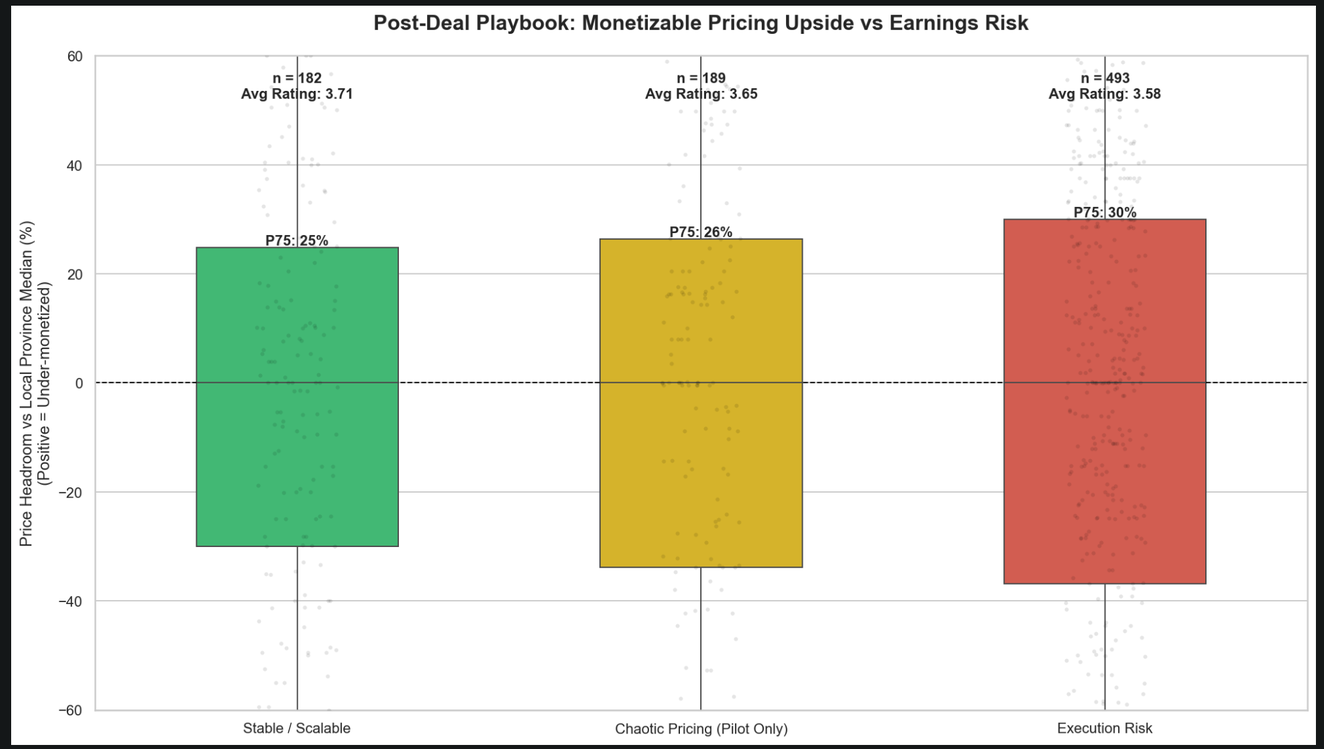
- Filter pricing actions to stable-execution markets only
- Quantify monetizable pricing headroom at the restaurant level

6 Implications & Post-Deal Playbook

Risk-Tiered Pricing Playbook

- Sequencing price actions by risk, not ambition



Each restaurant is benchmarked against its own province median price before aggregation.

Tier 1

Low Risk

- Stable, resident-led provinces (e.g., NJ, MA) with consistent city performance
- Raise prices on existing high-frequency items at restaurants priced below local median
- Immediate EBITDA uplift with limited rating risk

Tier 2

Moderate Risk

- Mixed provinces with urban–suburban skew (e.g., NY)
- Stable execution but high price dispersion
- Pilot pricing in selected city clusters
- Scale only after validating performance

Tier 3

High Risk

- Tourist-heavy, premium-priced markets (e.g., FL)
- Avoid broad price increases
- Focus on execution and menu discipline

What This Means for the Investment Case

Upside

- Pricing upside identified at restaurant level within stable markets
- ~25–30% monetizable headroom in low-volatility provinces
- Scalable via risk-tiered rollout, not blanket pricing

Protection

- Execution volatility is the primary filter for pricing actions
- High-risk markets excluded from scaling (Tier 3)
- Pilot-led rollout in mixed markets reduces downside risk

Thankyou

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